Ch. 14 HW #2 Pt. 3

Principles of Microeconomics

November 27, 2025

Instructions

These come from the Questions for Review section of Ch. 14 in Mankiw. They're meant to be a refresher after Thanksgiving break. Please turn them in with your homework due next class.

Questions for Review

1. What is marginal product, and what is meant by diminishing marginal product?

2. Draw a production function that exhibits diminishing marginal product of labor. Draw the associated total-cost curve. (In both cases, be sure to label the axes.) Explain the shapes of the two curves you have drawn.

3. Define **total cost, average total cost,** and **marginal cost.** How are they related?

4. Draw the marginal-cost and average-total-cost curves for a typical firm. Explain why the curves have the shapes they do and why they intersect where they do.